

Q3 2024

Custom Managed Portfolios

Beutel Goodman Conservative Balanced

Quick facts

Asset class:
Balanced

Management style:
Income Balanced¹

Number of holdings:
53

Sub-advisor:
Beutel Goodman

Portfolio manager:
Aviso Wealth

Minimum investment:
\$150,000

Inception Date:
October 1, 2003



What does the strategy invest in?

This strategy focuses on long-term capital growth supplemented by dividend income attained through the investment in a diversified basket of Canadian and foreign (mostly US) large capitalization equities.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	6.64%	7.59%	16.55%	3.58%	4.91%	4.84%	6.04%
Benchmark ⁵	5.97%	8.59%	17.27%	3.14%	4.26%	4.53%	5.39%

Calendar year returns

	2023	2022	2021	2020	2019	2018	2017
Portfolio	6.95%	- 6.74%	8.50%	8.98%	10.18%	- 0.27%	4.42%
Benchmark ⁵	8.77%	-10.08%	5.45%	9.28%	11.69%	- 0.03%	4.83%

Standard deviation	3.49%	Sortino ratio	1.69	Downside capture	73%
Sharpe ratio	1.24	Beta (Equity)	0.89	Upside capture	99%

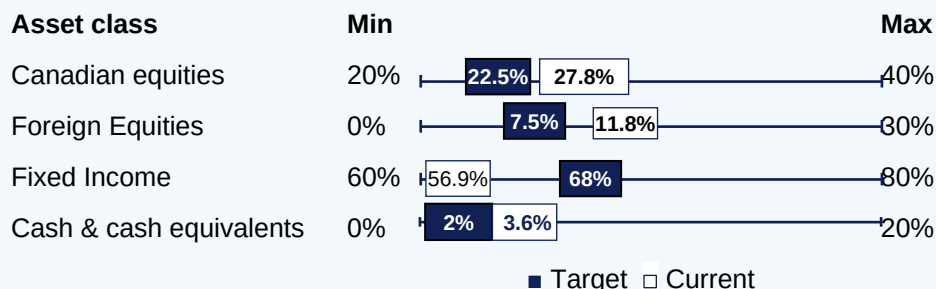
Largest holdings

1. CAGV 3.000 06/01/34	8.0%	6. ALBTA 3.900 12/01/33	3.1%
2. CAGV 4.500 02/01/26	7.1%	7. ONTAR 1.050 09/08/27	3.0%
3. TD 4.680 01/08/29	5.6%	8. TORONTO DOMINION BK	3.0%
4. ROYAL BANK OF CDA	3.3%	9. ONTAR 4.700 06/02/37	2.9%
5. ENB 3.450 09/29/25 '25	3.2%	10. ONTAR 4.650 06/02/41	2.9%

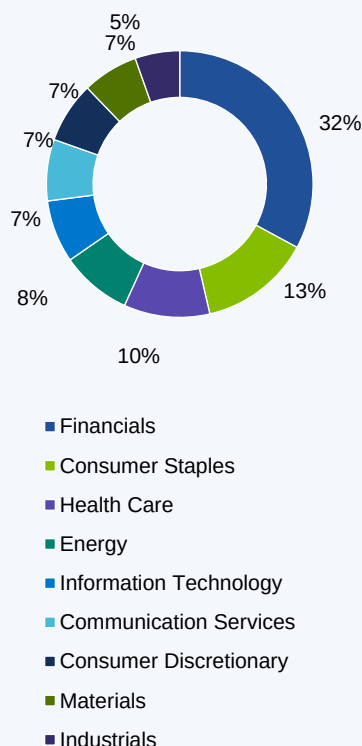
Portfolio attributes

Dividend yield	Portfolio Yield	Bond YTM	Average Credit Rating	Average Duration	Average market cap	Portfolio turnover
3.44%	3.69%	3.87%	A	7.5	\$79.48 B	48%

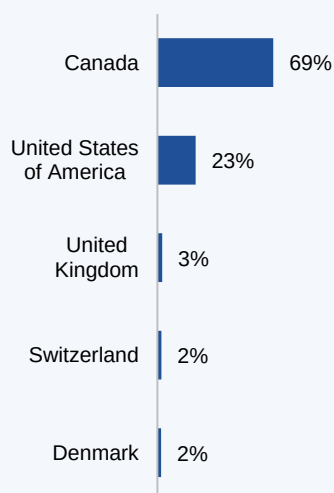
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

Investment Results & Market Comment

The Conservative Balanced model portfolio outperformed its blended benchmark during the quarter. The model's Fixed Income allocation outperformed the FTSE Canada Universe Bond Index's output of 4.66%. The Canadian Equity component outperformed the 10.54% return posted by the S&P/TSX Composite Index. The non-domestic equity segment outperformed the S&P 500 (C\$) benchmark's 4.54% return for the period.

While equity markets rose yet again in the third quarter of 2024, it was not a smooth ride up, as some softer-than-expected economic data, particularly on the labour front, released in August led to a sharp deterioration in risk appetite mid-quarter. However, following the dovish shift by central banks in the period amid cooling inflation – including a somewhat surprising 50 bps rate cut by the U.S. Federal Reserve in September – equities rallied. The S&P/TSX Composite (TSX) has reached record highs multiple times so far this year and that momentum continued in the third quarter. Canadian stocks, particularly the banks, have benefitted from a series of rate cuts by the Bank of Canada (BoC), while the Materials sector has been boosted by a higher gold price, as well as a spike in other metal prices resulting from economic stimulus measures in China. Against this backdrop, the TSX returned 10.54% for the quarter and the S&P 500 Index (C\$) returned 4.54%.

The FTSE Canada Universe Bond Index advanced by 4.66% on a total-return basis. The Corporate, Provincial and Municipal sectors outperformed the index, with returns of 4.67%, 5.05% and 4.97%, respectively, while the Federal sector underperformed the index, returning 4.33%.

The equity component of the model outperformed the benchmark during the period. Key sources of strength included an underweight and stock selection in Energy, an underweight in Industrials and stock selection in Consumer Staples and Communication Services. The main areas of weakness included stock selection in the Materials, Consumer Discretionary and Information Technology sectors. A zero weight in Real Estate also detracted.

Outlook

At its September meeting, the BoC cut its policy rate (to 4.25%) for the third time in succession, while the U.S. Federal Reserve (Fed), as expected, cut the federal funds rate by 50 bps. Canada's economy is facing a series of headwinds and unemployment now stands at 6.6%. Meanwhile, the U.S. economy is still on reasonably strong footing, though the consistent rise in the unemployment rate over the past year is a concern, and likely what led to the somewhat surprising magnitude of the Fed cut. Inflation is no longer the main concern for the central banks (the year-over-year CPI in August slowed to 2% in Canada and 2.5% in the U.S.), so the central banks are expected to reduce interest rates further with a view to spurring economic growth. In contrast, North American equities are performing well in 2024, with the majority of sectors producing double-digit returns year to date.

With respect to fixed income, the economy could remain resilient in the next few quarters should lower yields stimulate consumer spending and housing markets. This resiliency would be considered a soft landing by central banks and would likely mean a slower pace of cuts in 2025. Should a soft landing not materialize, however, it is likely that central banks will accelerate their interest rate cuts, with a view to stimulating growth and protecting the labor market. Amid growing turmoil in the Middle East, not to mention the upcoming U.S. elections, there are

many factors that could impact the global economy and the policies of central banks. As BoC Governor Macklem recently stated, “we need to recognize that new uncertainties are a new reality, and we must be ready for the inevitable shocks in a more turbulent world.” With that in mind, it is our view that growth will continue to moderate in both Canada and the U.S., bringing inflation down and allowing central banks the runway to continue their cutting cycle.

Investment manager overview



Since 1967, Beutel Goodman has specialized in applying a value approach to the management of domestic and global equity, balanced and fixed income mandates for institutional and individual investors. Beutel Goodman operates as a private partnership through which 51% of the equity is owned by its operating principals. Affiliated Managers Group, Inc. (AMG), a publicly traded U.S. based asset management holding company, holds a minority 49% position. While Beutel Goodman's operating partners own 51% of the equity (in a voting trust), they have 100% operational autonomy and control of the firm.

Investment philosophy

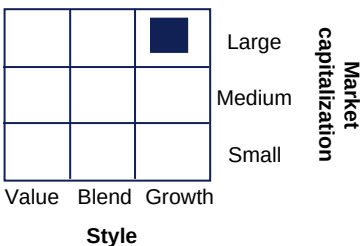
Beutel Goodman believes that successful bond investing requires a flexible policy and a multi-pronged approach to adding value. With respect to equity investing, Beutel views stocks as small pieces of businesses, and values companies based on their assessment of sustainable free cash flows. Beutel also believes that the relative bargains in stocks vs. bonds – measured by breadth and magnitude – can guide their asset mix decisions

Investment process and risk controls

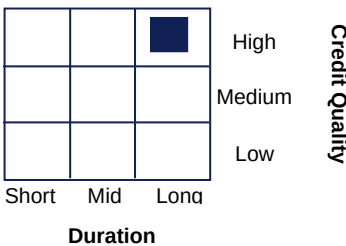
This mandate's focus is to provide a stable income stream with modest growth potential. Toward this end, Beutel Goodman will invest primarily in a variety of investment grade bonds, supplemented by a smaller component of stocks that they view as growing companies that represent good value. This income-oriented balanced portfolio will have the following characteristics and constraints:

- Investment grade bonds will account for at least 60% of this portfolio but not more than 80%.
- Of this bond component, corporate bonds are restricted to a minimum of 15% and a maximum of 65%.
- No more than 15% of the bond component can be invested in bonds rated lower than "A".
- The duration of the bond component will be within one and a half years of the duration of the FTSE TMX Bond Universe.
- Equity securities will account for at least 20% of this portfolio but no more than 40%.
- The equity component will be invested in 20 to 32 holdings and will be spread among at least six S&P/MSCI GICS sectors.
- The equity component's maximum weight in any sector is limited to 15% if the sector is less than 5% of the blended benchmark or 15% plus the sector weight in the blended benchmark if greater than 5% benchmark if greater than 5%.

Equity style²



Fixed Income style³



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ Income Balanced - Risk adjusted balanced strategy with a focus on steady cash-flow

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

³ Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at September 30, 2024. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

The information contained in this report was obtained from sources believed to be reliable; however, we cannot guarantee that it is accurate or complete. The Credential Managed Account is distributed by Credential Qtrade Securities Inc. Mutual funds and other securities are offered through Credential Qtrade Securities Inc. Referral fees, commissions, management fees, and expenses all may be associated with managed accounts or the investments therein. Please read the prospectus before investing. Managed accounts, and the investments therein, are not insured nor guaranteed, their values change frequently and past performance may not be repeated.

⁵ The benchmark is 70% FTSE Canada Universe Bond Index; 22.5% S&P/TSX Composite TR Index; 7.5% S&P 500 TR Index (CAD)

Aviso Wealth Inc. ('Aviso') is a wholly owned subsidiary of Aviso Wealth LP, which in turn is owned 50% by Desjardins Financial Holding Inc. and 50% by a limited partnership owned by the five Provincial Credit Union Centrals and The CUMIS Group Limited.

2100551E 10/21